■ Chapter 9 – Understanding Accounting and Financial Information

1. Accounting vs. Finance

• Accounting → Recording, classifying, summarizing, and interpreting financial events. Shows what has happened.

• Finance (Financial Management) → Concerned with raising and using funds. Focuses on planning for the future.

Example: Accounting records last month's sales, while Finance decides whether to borrow or invest profits.

2. Sources of Funds

• Debt Financing (External) → Borrowed money that must be repaid with interest (e.g., bank loans, bonds).

• Equity Financing (Internal) → Money from owners or selling shares of the company.

Funds come from: Owners, lenders. **Funds are used for:** Investments like equipment, buildings, and expansion.

3. The Accounting System & Users of Information

• Internal Users → Managers, employees (for decision-making).

• External Users → Shareholders, creditors, government, suppliers.

Conflict of interest: Owners want profits, lenders want repayment; managers may act in self-interest.

4. Types of Accounting

• Management Accounting → For managers, focuses on budgeting, cost analysis, decision-making.

• Financial Accounting → For outsiders (investors, banks, regulators) via published reports.

5. Financial Statements

Four key statements every business prepares:

- Balance Sheet – Assets, liabilities, equity at a point in time.
- Income Statement – Revenues, costs, profits over a period.
- Cash Flow Statement – Cash inflows and outflows.
- Shareholders' Equity Statement – Changes in owners' capital.

6. Income Statement (Details)

• Revenue → Income from normal operations (sales, fees, subscriptions).

• Cost of Sales (COGS) → Cost of producing goods/services.

• Operating Expenses → Salaries, rent, utilities.

• Depreciation → Loss of value of assets over time (e.g., a car losing value yearly).

7. Fundamental Accounting Equation

■ Assets = Liabilities + Owners' Equity (must always balance).

- Assets → Current (cash, inventory) & Non-current (land, equipment). Tangible (machines) & Intangible (patents).
- Liabilities → Current (short-term bills, loans) & Non-current (long-term loans).
- Equity → Owner’s share = Capital + Retained profits.

8. Ratio Analysis

Ratios help measure financial health.

- Liquidity Ratios → Ability to pay short-term debts (Current Ratio, Acid-Test Ratio).
- Leverage Ratios → Reliance on borrowed funds (Debt-to-Equity Ratio).
- Profitability Ratios → Efficiency in making profits (EPS, ROE, Return on Sales).
- Activity Ratios → Efficiency in using assets (Inventory Turnover).

■ Quick Recap (Revision Sheet)

- Accounting = records past; Finance = plans future.
- Sources of funds = Debt (loans) & Equity (shares).
- Users = Managers, Owners, Lenders, Government.
- Types = Management (internal) vs Financial (external).
- 4 Financial Statements = Balance Sheet, Income Statement, Cash Flow, Equity.
- Equation = Assets = Liabilities + Equity.
- Ratios = Liquidity, Leverage, Profitability, Activity.